dreaming about Treasuries but these state issues that were widely held in the United Kingdom at the time.

In the 1870s and 1880s, ten states defaulted, including some two-time losers: Alabama, Arkansas, Florida, Georgia, Louisiana, Minnesota, North Carolina, South Carolina, Tennessee, and Virginia. All were adversely affected by the Civil War except Minnesota, which went bankrupt because it failed to meet payments on railroad bonds ("railroads to nowhere").

And then finally, in 1933, Arkansas defaulted, again. Arkansas has the dubious distinction of being the only state to default three times.

In all these defaults, there was no bankruptcy mechanism. States are sovereign entities under the constitution (in particular, under the Eleventh Amendment). Furthermore, the federal government did not step in to offer aid. Will the Feds intervene in a state default in the future? I doubt it. New York City almost defaulted in 1975. New York City is notable because its metropolitan area has a gross domestic product larger than most states (and most countries). The mayor at the time, Abraham Beame, appealed to the federal government and President Ford for assistance, which was denied. The *Daily News* had the pithy headline, "FORD TO CITY: DROP DEAD." There is no federal obligation to provide a muni bailout, there never has been a bailout, and in my opinion a federal bailout will not happen when the next state defaults (hopefully not Arkansas for the fourth time).

I think Whitney is right in one respect: there will be defaults amounting to "hundreds of billions of dollars." I do not believe, however, that the defaults will be substantial in muni bond markets. State and muni governments will default implicitly (these are not legal defaults but defaults on social contracts) by reducing or eliminating services and benefits to residents. States and municipalities will cut public pension payments—which may be explicit defaults depending on how pension obligations rank in the liability pecking order. These defaults have already started. The full force of muni downsizing, however, will not be borne by muni bond holders.

3.5. ADVICE FOR INVESTORS

I summarize with the following recommendations:

1. Overall for muni interest rates, the same factors operate as in other fixed income markets: economic growth, inflation, monetary policy, volatility, and so on.
2. The tax-exempt status is the distinguishing characteristic of munis. Investors benefit from the tax exemption but need to be choosy because . . .
3. There are huge illiquidity and information shortcomings in muni markets. Try to avoid buying individual munis unless you know what you are doing. And even if you know what you are doing, pay attention to comparable prices and